HUDSON HERITAGE AL PAD

Town of Poughkeepsie, Dutchess County, NY · 114 units (78 AL · 36 MC) · 4 acres · 105 min to Midtown

Recommendation: Needs PILOT. At industry-norm lease-up (35 months), fully taxed YOC is 6.49%, a hair under the 6.5% floor. A Town of Poughkeepsie PILOT lifts it to 7.25%. Close only on a signed PILOT term sheet.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · PILOT
$52.4M	**$21.0M · $31.5M**	**7.25%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
13.1% · 1.70x	**$14.7M**	**$2.35M**

THESIS

- **Approvability.** AL already in approved master plan. Opposition risk is low.
- **Deal route.** Pad purchase or operator JV. 156-ac master plan under construction by EFG/Saber; pad price not public.
- **Need and rents.** Need 50, rent support 64 and approval 85 on a 100-point scale.
- **Returns.** 7.25% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $68.5M on trended NOI of $4.45M. Max land at the floor is $2.8M against a $2.9M basis.

SOURCES AND USES

Land	$2.85M
Hard cost	$30.57M
Site work	$1.02M
Contingency	$1.58M
FF&E	$2.51M
Soft cost	$6.32M
Construction interest	$2.63M
Lease-up reserve	$4.96M
Total uses	**$52.44M**
Equity, 40% (LP 90% / GP 10%)	$20.98M
Construction loan, 60% LTC	$31.46M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	35 mo
Site control to sale	**64 mo**

TEAM

Operator, first call	Benchmark / National Development
Operator, second	Juniper or a regional middle-market operator
General contractor	Andron Construction (alternate KBE Building Corporation)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.25%	7.1%	13.1%	1.70x	$14.7M
Rents −10%	6.52%	4.0%	7.7%	1.38x	$7.8M
Hard costs +10%	6.73%	4.9%	9.4%	1.47x	$10.6M
Exit cap +50 bps	7.25%	5.0%	9.4%	1.47x	$9.9M
Lease-up +6 months	7.14%	6.3%	11.6%	1.70x	$14.8M
Combined downside	**5.96%**	**-0.2%**	**-0.4%**	**0.98x**	**−$0.4M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.96% and the levered IRR to -0.4%, a $0.4M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: GMP contract.** GMP contract, on top of the PILOT already in the base case, holds breakeven: the combined downside still returns $2.4M of profit (6.28% YOC, 2.2% levered IRR).

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.25%	$14.7M	5.96%	−$0.4M	No
GMP contract	**7.25%**	**$14.7M**	**6.28%**	**$2.4M**	**Yes**
GMP + ground lease	7.32%	$14.5M	6.30%	$2.4M	Yes
GMP + operator master lease	6.81%	$2.6M	6.64%	−$2.0M	No
Fee development for a nonprofit	7.86%	$20.3M	6.87%	$7.7M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Entitled; approval odds 85% (Very likely). Approved 750-unit master plan including AL; under construction.
Lease-up	35 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.72x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Taxes	The return depends on a PILOT (fully taxed YOC 6.49%). Close only on a signed term sheet.

NEXT STEPS

1. Ask EFG/Saber for AL pad terms.
2. Gate 1 · Feasibility by month 3, $0.09M at risk. Counsel confirms the entitled path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 5.5, $0.14M at risk. Staff sees a path; town supervisor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NY-10. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NY-10-proforma.xlsx